Suspense Account Rectification

park the difference here!

Accounting

In simple words *If the trial balance does not tally, the gap is parked in Suspense A/c until the errors are found.*

1 Suspense Account

A temporary account that holds the trial balance difference until the errors causing it are located and rectified.

Nil after rectification

2 One-sided error

An error affecting only one account, like a wrong or omitted posting on one side. It upsets the trial balance.

Needs Suspense A/c

1. If the debit total is short, Suspense A/c is placed on the debit side of the trial balance.
2. If the credit total is short, Suspense A/c is placed on the credit side.
3. One-sided errors go through Suspense A/c; two-sided errors never touch it.
4. Once all one-sided errors are rectified, the Suspense balance becomes nil.



Swipe for the summary →

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SUSPENSE ENTRIES

Suspense Account in Rectification

one side fixed, Suspense plugs

Sales under-credited (credit short)

Suspense A/c ..... DR

To Sales A/c

(Being sales under-credited, now rectified)

Purchases under-debited (debit short)

Purchases A/c ..... DR

To Suspense A/c

(Being purchases under-debited, now rectified)

SUSPENSE IS ONLY A PARKING SLOT! Once all one-sided errors are rectified through Suspense A/c, its balance becomes nil.

Swipe for a memory trick ⟶

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@cacmagyan



STUDY TRICK

Suspense Account in Rectification

Debit short? Suspense gets debit

SHORT SIDE GETS THE PLUG

Suspense is a plug put on the shorter side so totals match. Debit short: Suspense debit. Credit short: Suspense credit.

HOW TO ATTEMPT IT

1 Find which trial balance side is short → 2 Open Suspense A/c on that side → 3 List each error: one-sided or two-sided → 4 Pass entry; Suspense for one-sided only → 5 Check Suspense closes to nil

EXAM TIP

Pass a rectifying entry through Suspense A/c only when the error is one-sided; two-sided errors are fixed between the real accounts.

DOUBT BUSTER

Why does the trial balance difference need no journal entry?

The difference is simply shown in Suspense A/c on the shorter side of the trial balance. Journal entries are passed only to rectify errors.

Swipe for common mistakes →

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@cacmagyan

COMMON MISTAKES

Suspense Account in Rectification

tally first, then fix

✗ Putting Suspense on the credit side when the debit total is short

✓ Debit total short means Suspense A/c is shown on the debit side.

✗ Passing a Suspense entry for a two-sided error like wrong head of account

✓ Two-sided errors are rectified between the two accounts concerned; Suspense is not used.

✗ Assuming Suspense is always debited

✓ It is debited or credited depending on which trial balance side is short.

TOMORROW'S CA FOUNDATION MCQ TESTS THIS!

Revise it tonight, then try the MCQ.

Save this for revision!

RAHUL KP
@cacmagyan

